

Water Use, Efficiency and Water-Related Risks for SMEs

🕒 15 min · Supporting learning resource (LSM)

Module 4 · Resource Efficiency: Energy, Carbon and Water
Unit 4 · Water Use, Water Efficiency and Water-Related Risks



Introduction

Water is an essential resource for many SME activities, yet its importance is often underestimated. Increasing water scarcity, rising costs and supply disruptions are making water management more relevant for business sustainability and resilience.

This Learning Support Material complements the video lesson by summarising how water is typically used in SMEs, why water efficiency matters and what types of water-related risks may affect business operations. It also supports learners in reflecting on current water use practices and identifying simple opportunities for improvement, without requiring technical expertise.

Key concepts explained

Water use in SMEs

In SMEs, water is commonly used in production processes, cleaning activities, cooling systems and service-related operations. In some sectors, water use may be constant and visible, while in others it may occur in smaller amounts across daily routines.

Even small quantities of water used regularly can result in significant consumption over time. Understanding where and how water is used is the first step towards improving efficiency and reducing waste.

Importance of water efficiency and stewardship

Water efficiency means using water responsibly and avoiding unnecessary losses. For SMEs, this is not only an environmental issue but also a practical business consideration.

Efficient water use can help reduce operating costs, improve reliability of operations and limit exposure to future water-related challenges. Water stewardship also encourages a more responsible and forward-looking approach to resource management.

Water-related risks for businesses

Water-related risks may include water scarcity, increasing prices, supply disruptions and restrictions on water use. These risks can affect production, service delivery and overall business continuity.

Recognising water as a potential business risk allows SMEs to prepare more effectively and take preventive actions rather than reacting to disruptions.

Why this matters for SMEs



For SMEs, water use and water-related risks are closely linked to:

- operating costs and efficiency
- continuity of business activities
- exposure to supply disruptions and external constraints

Improving water efficiency can therefore support both short-term cost control and long-term business resilience.

Practical examples or typical situations

SMEs may identify water efficiency and risk issues in situations such as:

- water-intensive cleaning or production processes
- leaking taps or inefficient fixtures
- dependence on a single water source for key activities

These examples show how water-related challenges are often linked to everyday practices rather than exceptional events.

Key takeaways

- Water is a critical resource for many SME operations
- Water efficiency helps reduce waste, costs and operational risks
- Water-related risks can affect business continuity and resilience
- Awareness and observation are the first steps towards improvement

Reflection prompts

Take a moment to reflect on your organisation:

- Where is water mainly used in your daily operations?
- Which practices may lead to unnecessary water consumption?
- Are there any water-related risks that could affect your business activities?

Link to next unit

This unit focused on understanding water use, water efficiency and water-related risks in SMEs.

In the next part of the module, these insights will support a more integrated approach to resource efficiency, combining energy, carbon and water perspectives in sustainable business operations.

References

- Toolkit chapters: Water efficiency and water stewardship (introductory sections)
- Pedagogical design reference: PA4 – Module 4, Subunit 4.4